

Waitlist COLA: A Record-Blind NBA Draft Order With No Tanking Reward

Paper Track: Basketball

Open-source repository: <https://github.com/kvr06-ai/cola-sloan-ssac27>

Introduction

National Basketball Association (NBA) teams that fall out of the playoff race often stop trying to win, because finishing worse earns a better draft pick. Roughly a third of the league's teams were openly doing this late in the 2025-26 season. For ten years the league has answered by adjusting its lottery odds, most recently in May 2026 with a sixteen-team format called 3-2-1. Banchio and Munro (SSAC 2020) proved that adjusting odds cannot fix this, because any rule giving worse records better odds still rewards losing.

Carry-Over Lottery Allocation (COLA) takes another route. Each team carries a waiting number that rises every year it misses the playoffs and falls when it succeeds, and draft priority follows that number. One bad season barely moves it. COLA is a family of rules, and no version has been tested against the others. We tested them, and found the reward for losing in a part of the lottery nobody argues about.

Methods

We describe the family with seven settings and test nine draft rules in ZenGM Basketball-GM, an open-source simulator that plays out every game, roster, and trade. Each rule ran 48 separate leagues of 15 seasons, 14,004 league-seasons in all. Every rule is then scored on one question asked two ways. How many places earlier does the team ranked first draft than the team ranked fifth? Table 2 gives both rankings.

What the rule reads	Reward for losing <i>draft places</i>	Vs. 2026 rule
Both parts read record (rule through 2026)	1.30	baseline
Draw ignores record, later picks by record	1.98	1.52×
Later picks ignore record, draw unchanged	0.61	0.47×
Neither part reads record	−0.16	noise floor

Table 1. Where the reward for losing comes from. Each number is how many places earlier the worst team drafts than the fifth-worst, on average, which is what finishing last buys. Through 2026 the lottery drew four picks and handed out the rest in order of record. Each row below the first makes one part ignore record. The two parts work against each other, so the ratios do not add up. A weighted draw pulls the worst teams out of the record-ordered picks, hiding how much those picks are worth.

Results

Most of the reward for losing came from picks 5 through 14, which went in order of who lost most. Flattening the odds while leaving those picks alone makes tanking pay better. The league's new rule confirms it, because 3-2-1 draws all sixteen places, so no pick is handed out by record. Its new odds table alone would have made tanking pay more than the old rule.

Table 2 shows why rules built on record are stuck. Ranked by record or by their own standard they post the same number, so they cannot help the teams they mean to help without also paying teams to lose. Waitlist COLA breaks that. Dropping a team from fifth-worst to worst gains 1.87 places under the original COLA and 1.32 under the 2026 rule, and nothing at all under Waitlist COLA across 720 seasons. The pattern repeats on 26 seasons of real NBA results.

Mechanism	Ranked by record <i>draft places; want 0</i>	Ranked by own standard <i>draft places; want wide</i>
NBA lottery, 2019 rules	+1.09 ± 0.12	+1.09 ± 0.12
3-2-1 as adopted	−1.22 ± 0.25	−1.22 ± 0.25
Classic COLA (original)	+1.88 ± 0.11	+1.38 ± 0.24
Waitlist COLA	−0.12 ± 0.22	+1.71 ± 0.13

Table 2. The same measurement under two rankings. Rank the fourteen lottery teams, take the first and the fifth, and compare the picks they get. Ranked by record, the number is what losing buys, and zero is the goal. Ranked by the rule's own standard of who deserves help, a big positive number means the rule delivers. When a rule's standard is record, both rankings give the same list, so the two columns must match. A negative number flips the reading, so 3-2-1 gives its worst teams the latest picks.

Conclusion

Waitlist COLA changes one thing. Keep the four-pick lottery as it is, then hand out the remaining picks by waiting number. Losing on purpose stops paying. The league's new rule also stops it, but by pushing its worst teams further down the order, while Waitlist COLA gives the longest-suffering teams the earliest picks. Nothing a broadcast shows would change. The 3-2-1 format expires after the 2029 draft, when a fresh vote reopens the question.